2. The banks/FIs can also sell the security to a securitisation or Asset Reconstruction Company (ARC), estd. under the provisions of the Ordinance [The ARC is sought to be set up on the lines similar to the USA, few years ago.]

Debt Recovery Tribunals (DRTs)

Earlier, the Government had set up Debt Recovery Tribunals (DRTs) in 1993 which failed to bring about the desired change in the scenario due to[32] —

(i) DRTs are also clogged up with many cases and the judgement takes time (many months, if not years):

(ii) The sale of property can be made only through court appointed officials, adding delays;

(iii) The tribunals cannot take up the medium- or large-sized firms if they are under consideration of the BIFR due to sickness.

The praiseworthy step regarding recovery of the NPAs and allowing the setting up of the Asset Reconstruction Companies (ARCs) had an impact. Improved industrial climate and new options available to banks for dealing with bad loans helped in recovering a substantial amount of NPAs. The NPAs of scheduled commercial banks (SCBs) were at 2.3 per cent of total assets at end December 2011.[33]

CAPITAL ADEQUACY RATIO

At first sight bank is a business or industry a segment of the service sector in any economy. But the failure of a bank may have far greater damaging impact on an economy than any other kind of business or commercial activity. Basically, modern economies are heavily dependent on banks today than in the past—banks are today called the backbone of economies. Healthy functioning of banks is today essential for the proper functioning of an economy. As credit creation (***i.e. loan disbursals***) of banks are highly risky business, the depositors' money depends on the banks' quality of lending. More importantly, the whole payment system, public as well as